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California enacts law increasing penalties for corporate crimes

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California Attorney General Rob Bonta has released a statement following Governor Gavin Newsom's signing of Assembly Bill (AB) 2432 into law. The new legislation allows state courts to impose higher monetary penalties on corporations convicted of criminal offenses, with the resulting funds directed to crime victim service organizations in California. These organizations provide various forms of assistance, including medical care, mental health counseling, lost wages, courtroom advocacy, and temporary housing.

"I want to thank Governor Newsom for signing AB 2432 into law. Deterring and punishing corporate crime is a top priority at the California Department of Justice. With AB 2432, we will be better equipped to do just that," said Attorney General Bonta. "Importantly, the increased corporate criminal penalties will be used to help fund crime victim service organizations up and down our state. These organizations have been facing significant federal funding cuts, and today, we're letting them know that we have their backs."

Assemblymember Jesse Gabriel (D-Encino), who introduced the bill along with joint authors Assemblymember Eloise Gómez Reyes (D-Colton) and Assemblymember Sabrina Cervantes (D-Riverside), emphasized the importance of holding corporations accountable: "The California Victims of Crime Act is about fairness and justice — when major corporations break the law, they must be held accountable," said Gabriel. "The enhanced penalties in this bill will ensure that bad actors cannot evade responsibility when they defraud or exploit vulnerable Californians and will provide critical funding for programs that serve some of the most vulnerable crime victims in California."

Assemblymember Reyes expressed gratitude for the collaborative effort: "I want to thank Governor Newsom for signing AB 2432," she said. "The focus of this legislation is ensuring justice is served by not only punishing crimes but restoring and supporting victims."

Assemblymember Cervantes highlighted the financial stability provided by the new law: "AB 2432 supplies a critical new funding source for organizations throughout California that support crime victims and their families," she stated.

Crime victim service organizations across all U.S. states and territories have traditionally been funded through the federal Crime Victims Fund established by the Victims of Crime Act of 1984 (VOCA). However, there has been a significant decline in funding from this source. For fiscal year 2024, California saw a 43.4% decrease compared to fiscal year 2023.

Starting January 1, 2025:

- Maximum criminal fines on corporations will generally double compared to current amounts taken from victims or losses caused.

- Restitution fines for corporations will increase from $10,000 to $100,000.

- All collected monies will go into a newly created fund — specifically the California Crime Victims Fund — which will disburse funds to crime victim service programs.

This legislative change aims not only to create a new state funding stream but also ensures corporate offenders are held accountable while providing significant deterrence benefits.

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